

AUTO YOC — ANALYST CALIBRATION

Use this document to validate and refine the presets powering the Auto YOC formula. Fill in the shaded response fields or annotate inline. Return completed to the underwriting team.

Section 1 Markets & Geography

Q1. We currently treat FL and SC as "coastal" — triggering higher insurance and land cost assumptions. Are there other states or specific coastal MSAs that should get the same treatment?

Examples: coastal VA, NC Outer Banks, Gulf Coast AL/MS.

Apart from SC and FL we only have some parts of NC and Georgia.

Section 2 Rents

Q4. When you open an Excel model for a typical deal in a given state/city, what blended monthly rent per unit are you underwriting?

Rough number is fine (e.g., "about \$1,600/unit for a 3-story in Greensboro"). This lets us back-solve whether the formula's state rent multiplier is in the right range.

North Carolina - 3 Story - \$1700/unit & 4 Story - \$1600/unit
South Carolina – 4 Story AA - \$2400/unit & BTR - \$2200/unit

Q5. For new construction, do you use the top comp as your rent assumption, an average of the top comps, or something else?

We currently use the single highest comp PSF + \$50 new-construction premium.

We use the average of the top comps (As per HelloData) PSF + \$50 new-construction premium

Q6. Is the \$50/unit new-construction premium over market comps right for most markets? Are there markets where new construction commands more or less of a spread?

In high growth cities like Charlotte, Nashville etc. we can consider more spread and in rural areas (Low density area) \$50/unit or less spread can be considered.

Q7. For BTR deals, we add \$200/unit to the top apartment comp as a proxy for the BTR premium (private entry, garage, yard). Does that feel right, or is the premium different in the markets you're underwriting?

As per our understanding, current assumptions are correct. Although, we are currently using Zillow for rent comparable for better accuracy.

Section 3 Construction Costs

Q8. For each building type below, does the assumed hard cost per unit feel in line with what your Excel models show? If any are materially off, enter your actual number in the right column.

Building Type	Current Assumption	Your Number / Notes
3-Story Walk-Up	\$164,000/unit	
4-Story Surface-Parked	\$158,000/unit	
AA 3-Story	\$167,200/unit	
AA 4-Story	\$192,000/unit	
AA Cottages	\$252,500/unit	
BTR Townhome (3-Story)	\$254,000/unit	
BTR SFR Detached	\$258,000/unit	
BTR TH 2-3BR	\$230,000/unit	

Q9. Are construction costs noticeably different market to market? For example, are Nashville or FL deals coming in higher or lower than NC deals for the same product type?

Q10. We use 15% soft costs on top of hard costs for all product types. Is that consistent with what you see in your models, or does it vary by type or market?

Section 4 Land Cost Assumptions (Deals Without an Asking Price)

Q11. When a deal comes in with no asking price, the formula estimates land cost using the per-unit assumptions below. Do these feel like reasonable starting points before a real price is known?

Building Type	Non-Coastal	Coastal	Notes
3-Story SP	\$25,000/unit	\$35,000/unit	Reasonable
4-Story SP	\$30,000/unit	\$45,000/unit	Reasonable
AA 3-Story / 4-Story / Cottages	\$30,000/unit	\$40–45,000/unit	Reasonable
BTR TH / SFR / 2-3BR	\$50,000/unit	\$55,000/unit	Reasonable

Q12. For deals where you have seen the actual asking price, how far off is the formula's estimated land cost? Even a rough sense helps calibrate the state land multipliers.

Example: "Usually low by 30% in Charlotte."

Usually, similar pricing and sometimes may pricing varies by +/-10%.

Section 5 Density (Units Per Acre)

Q13. For each product type, is the assumed density roughly right for the deals you see? Note exceptions in the right column.

Building Type	Current DUA	Notes / Exceptions
3-Story Walk-Up / AA 3-Story / Attainable	25 u/a	On an average 30 u/a
4-Story SP / AA 4-Story	35 u/a	
AA Cottages	6 u/a	
BTR Townhome / SFR Detached	8 u/a	
BTR TH 2-3BR	10 u/a	

Q14. Are there specific markets where zoning or site constraints typically yield a different density than these presets?

Charlotte Market – Density is higher than these presets.
Winston Market – Density is lower than these presets.
Raleigh Market - Density is medium than these presets.

Section 6 Unit Mix

Q15. We assume 60% 1-bedroom / 40% 2-bedroom for all conventional and AA types. Is that the mix your Excel models use, or does it vary by product type or market?

For example, some Active Adult programs skew heavier to 2BR.

Q16. For BTR products, the mix is 65% 3BR / 35% 4BR for townhomes and 30% 3BR / 70% 4BR for SFR detached. Do those splits match what you typically underwrite?

All the assumptions are correct that we are currently using in our underwriting.

Section 7 Operating Expenses

Q17. Review the operating expense assumptions below. Flag anything that is materially off from your models.

Assumption	Current Value	Your Number / Notes
Vacancy	5%	
Loss to Lease	1%	
Concessions	1%	
Bad Debt	0%	
Management Fee	2.75% of EGI	
Other Income — Conventional / AA	\$192/unit/mo	
Other Income — BTR / Cottages	\$235/unit/mo	
Fixed OpEx — Conventional / AA	\$6,101/unit/yr	
Fixed OpEx — BTR / Cottages	\$7,014/unit/yr	

Q18. Do vacancy, LTL, or concession assumptions vary by market or product type in your experience?

In high density area vacancy is low, LTL and concession are low due to higher compelling demographic and in low density or rural areas vacancy is higher, LTL and concession may higher to achieve higher absorption or because of low liquidity.

Section 8 Real Estate Taxes

Q19. We currently only have a TN-specific RE tax add-on (+\$495/unit/year above the default baked-in assumption of ~\$1,971/unit/year). Are there other states where the RE tax burden is materially different from a typical South east market?

Section 9 Insurance

Q20. Review insurance assumptions by product type below. Flag anything that is materially off from actual deal budgets you've seen.

Product Type	Non-Coastal	Coastal (FL/SC)	Notes
3-Story SP	\$550/unit/yr	\$700/unit/yr	
4-Story SP	\$600/unit/yr	\$800/unit/yr	
AA 3-Story	\$575/unit/yr	\$750/unit/yr	
AA 4-Story	\$625/unit/yr	\$825/unit/yr	
AA Cottages	\$750/unit/yr	\$900/unit/yr	
BTR TH / SFR / 2-3BR	\$750–800/unit/yr	\$900–950/unit/yr	

Q21. Are there markets besides FL and SC that carry elevated insurance costs? (e.g., coastal NC, Gulf Coast AL, any hurricane-exposed markets)

Apart from SC and FL we only have some parts of NC and Georgia.